Michigan (:)

SEPTEMBER 2026 Gambling Market & Regulatory Brief · Published 22 Oct 2026 · Currency USD (tables in $ millions unless stated)

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Prepared: 4 Nov 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

Michigan's regulated online market booked $355.7m of combined iGaming + online sports betting gross receipts in September 2026 (+17.5% YoY, +5.4% MoM) with iGaming ($300.2m GR / $288.2m AGR, +18.4% YoY) doing almost all of the work and OSB AGR up 88% on an easy, promo-heavy comp. The rules are stable today but every swing factor sits in 2027: the iGaming free-play deduction falls to zero on 1 Jan 2027, a new governor inherits a structural budget gap that the outgoing administration tried to plug with a 36% top iGaming tier and a per-bet levy, and the market remains closed to new entrants absent a Detroit-casino or tribal skin.

ONLINE GR (IGAMING + OSB), SEP-26	IGAMING AGR, SEP-26	OSB HANDLE, SEP-26	OSB AGR, SEP-26	STATE TAXES & PAYMENTS (ONLINE), SEP-26	DETROIT CASINOS SLOTS + TABLES AGR, SEP-26
$355.7m	**$288.2m**	**$544.8m**	**$24.9m**	**$62.4m**	**$102.8m**
+17.5% YoY / +5.4% MoM	+18.4% YoY / −0.9% MoM (+2.4% per day)	+3.9% YoY / +64.9% MoM	+88.2% YoY / +2.9% MoM	+20.9% YoY / −0.6% MoM	+4.7% YoY / −5.6% MoM

1 EXECUTIVE SUMMARY

- **Market size (online): $355.7m of combined internet gaming and online sports betting gross receipts in September 2026**, per the Michigan Gaming Control Board (MGCB) release of 22 Oct 2026 — +5.4% on August ($337.6m) and +17.5% on September 2025 ($302.7m). On the taxable (adjusted gross receipts, AGR) basis the market was $313.0m, +22.0% YoY. Jan–Sep 2026 online GR is $3,175.7m (+18.9% YoY).
- **iGaming is the engine: $300.2m GR and $288.2m AGR in September (+15.9% / +18.4% YoY).** The −0.9% MoM print is purely calendar (30 vs 31 days); AGR per day rose 2.4% to $9.6m. YTD iGaming AGR is $2,600.9m (+23.3%), and the trailing-12-month (Oct-25 to Sep-26) AGR is $3,392.6m — Michigan is tracking to the first $3.5bn+ iGaming AGR year in any US state.
- **OSB is mature and promo-driven: handle $544.8m (+3.9% YoY), GR $55.5m (+27.3% YoY) on a 10.2% hold, AGR $24.9m (+88.2% YoY).** The AGR jump reflects promo deductions falling to 55% of GR from 70% a year ago; YTD OSB AGR is actually down 6.9% to $242.8m because promo deductions ran at 48% of GR YTD vs 39% in 2025. Handle growth of 5.8% YTD says the sportsbook customer base is largely built out.
- **Online dominates the MGCB-reported market: 77% of September's $459.3m of reported gross gaming revenue** (iGaming $300.2m + OSB $55.5m + Detroit slots/tables $102.8m + Detroit retail sportsbook $0.8m). Caveat: Michigan's 23 tribal land-based casinos do not publish revenue and the Michigan Lottery (incl. iLottery) sits outside the MGCB, so true online penetration of all gambling is lower — n/a.
- **Retail is flat-to-low-growth: Detroit's three casinos reported $102.8m of slots/table AGR (+4.7% YoY, +2.3% YTD)**, split MGM Grand 47% / MotorCity 32% / Hollywood Casino at Greektown 21%; retail sportsbook QAGR was just $0.77m on $12.4m handle — the on-property book is a rounding error at 1.4% of OSB AGR.
- **Tax regime (iGaming): graduated 20–28% of AGR** (28% marginal above $12m annual AGR — every one of the 15 operators sits in the top tier), plus a 1.25% City of Detroit wagering tax for the three commercial licensees (29.25% all-in). The tax base is GR less a capped free-play deduction: 4% of GR in 2026 (year 5), and **zero from 1 January 2027** under MCL 432.303(a) — a structural ~1.1pt-of-GR increase in effective tax (~$40m/yr at a $3.6bn GR run-rate; our estimate).
- **Tax regime (OSB): 8.4% of AGR** (+1.25% city for Detroit casinos), with promotional/free-play deductions **uncapped** — the reason state OSB tax was only $1.8m in September on $55.5m of GR (3.3% of GR; 7.4% of AGR). Fantasy contests are taxed at 8.4% of adjusted revenue; Detroit casinos pay 8.1% state + 10.9% city on slots/tables.
- **Tax take: operators paid $62.4m to the State in September (iGaming $60.6m, OSB $1.8m; +20.9% YoY)**, $14.0m to the City of Detroit (iGaming $13.5m, OSB $0.55m) and $8.3m to tribal local governing bodies. YTD state online receipts are $557.5m (+24.7%); fiscal-year 2026 (Oct-25 to Sep-26) iGaming state tax/payments reached $703.9m and OSB $31.0m (our aggregation of MGCB monthly files). Remaining Internet Gaming Fund balances flow to the School Aid Fund.
- **Licensing is a closed, skin-limited system: 15 operator licences (3 Detroit casinos + 12 federally recognised tribes), one platform each**; all 15 offer iGaming and 13 offer OSB. Fees under the Lawful Internet Gaming Act / Lawful Sports Betting Act are modest — $50,000 application, $100,000 initial licence, $50,000 annual (5-year term); suppliers $5,000/$5,000/$2,500 — but there is no path to market without displacing an incumbent platform partner.
- **Operator landscape (iGaming AGR share, Sep-26): FanDuel 24.7%, BetMGM 21.1%, DraftKings 14.9%, BetRivers 7.5%, Fanatics 6.7%, Hard Rock Bet 6.4%, Caesars/WSOP 5.2%**, with Golden Nugget, theScore Bet, bet365, BetPARX, FireKeepers (NeoGames), Soaring Eagle (GAN), Caesars Horseshoe and Four Winds (Strive) making up the remaining 13.6%. Top-3 concentration is 60.7%, down from 67.9% a year ago as Hard Rock Bet (relaunched on the Hannahville licence in Dec-25), Fanatics and bet365 took share from FanDuel (−2.2pt) and BetMGM (−4.3pt).
- **OSB is a duopoly-plus: FanDuel 34.2% and DraftKings 28.2% of September handle (62.4% combined), BetMGM 10.4%, Fanatics 9.0%, bet365 5.5%.** Promo intensity is extreme at the challengers — bet365 deducted 129% of its GR (negative AGR of −$1.3m) and Hard Rock Bet 93%, versus 51–53% at FanDuel/DraftKings and 36% at BetMGM.
- **Tribal vs commercial: tribal-licensed skins generated 51.6% of September iGaming AGR ($148.6m vs $139.6m).** Tribal payments are routed 70% Internet Gaming Fund / 10% Michigan Strategic Fund / 20% local governing body; commercial tax goes 65% IGF / 5% Agriculture Equine Industry Development Fund (capped $3m) / 30% City of Detroit, and the IGF carries a first-call guarantee to top up Detroit if the city's gaming tax receipts fall below $183m.
- **Fiscal politics are the key regulatory risk and they just reset.** Gov. Whitmer's FY2027 executive budget (11 Feb 2026) proposed a 36% top

iGaming tier above $185m AGR, a $0.25/$0.50 per-wager OSB levy (~$38.8m) and elimination of the OSB promo deduction (~$21.1m) — ~$195–200m in total. The Senate stripped all three in May 2026 (bipartisan) and the FY2027 budget was signed on 21 Jul 2026 with no gaming-tax change. Whitmer is term-limited; preliminary results show Jocelyn Benson (D) winning the 3 Nov 2026 governor's race, and the FY2028 executive budget (Feb 2027) is the next test.

- **Enforcement is the most aggressive of any US state on prediction markets.** The Attorney General sued Kalshi under the Lawful Sports Betting Act in March 2026, won a TRO (29 Jun, $120k/day) and a preliminary injunction (2 Sep); Robinhood (Sep), Coinbase (7 Oct) and Polymarket/QCX LLC (28 Oct, positions closed by 25 Nov 2026) have all agreed to halt sports event contracts in Michigan. MGCB also issued 32 cease-and-desist letters to offshore sites on 8 Oct 2026 and treats sweepstakes casinos as illegal gaming under MCL 432.
- **Product scope is widening at the margin: MGCB added fixed-odds horse racing to the OSB catalogue on 30 Oct 2026**, allowing licensed online books to offer fixed-price race bets alongside pari-mutuel — modest handle but a signal that the regulator is willing to expand the catalogue administratively rather than legislatively.
- **Responsible gambling framework is statutory and funded:** 21+ age, geolocation, self-exclusion via the Internet Gaming and Sports Betting Responsible Gaming Database (plus the Disassociated Persons List for casinos), free Gamban licences for residents, 1-800-GAMBLER on all materials, and $500,000 a year each from the Internet Gaming and Internet Sports Betting Funds to the Compulsive Gaming Prevention Fund. Payment-method statistics are not published by MGCB (n/a).
- **Read-through for an operator weighing Michigan:** this is the deepest, most profitable iGaming pool in the US (c.$3.4bn TTM AGR, 28% headline tax with no city levy for tribal skins), but entry is only via acquiring or replacing an incumbent platform on one of 15 licences; the 2027 free-play sunset and a probable renewed tax push argue for underwriting at ≥30% effective iGaming tax and for OSB as a customer-acquisition channel rather than a profit centre (8.4% nominal, but 48% of GR is being handed back in promos YTD).
- **Benchmark check:** the lead trade-press article (Gaming Intelligence, 27 Oct 2026) headlines the same $355.7m / +18% figure; our YoY of +17.5% uses the MGCB's September 2025 release ($302.7m) rather than rounded figures. All headline numbers reconcile to the MGCB operator-level workbooks to within $0.1m.

2 MARKET SUMMARY

MICHIGAN — MGCB-REPORTED MARKET, $M		SEP-26	MOM	YOY	JAN–SEP 26	YTD YOY
ONLINE (IGAMING + OSB)						
Combined online gross receipts		**355.7**	**+5.4%**	**+17.5%**	**3,175.7**	**+18.9%**
iGaming gross receipts		300.2	−0.9%	+15.9%	2,709.9	+20.7%
iGaming AGR (taxable base)		288.2	−0.9%	+18.4%	2,600.9	+23.3%
OSB handle		544.8	+64.9%	+3.9%	3,876.1	+5.8%
OSB gross receipts		55.5	+60.5%	+27.3%	465.8	+9.3%
OSB hold (GR / handle)		10.2%	−0.3pt	+1.9pt	12.0%	+0.4pt
OSB AGR (after promo deductions)		24.9	+2.9%	+88.2%	242.8	−6.9%
Combined online AGR		**313.0**	**−0.6%**	**+22.0%**	**2,843.7**	**+20.0%**
RETAIL (DETROIT COMMERCIAL CASINOS)						
Slots + table games AGR		102.8	−5.6%	+4.7%	n/a	+2.3%
Retail sportsbook handle		12.4	n/a	n/a	n/a	n/a
Retail sportsbook QAGR		0.77	−10.9%	+3.0%	n/a	n/a
Tribal land-based casinos (23)	Tribal casino revenue is not published; compact payments only.	n/a	n/a	n/a	n/a	n/a
Total MGCB-reported GGR (gross basis)		**459.3**	**n/a**	**n/a**	**n/a**	**n/a**
Online share of reported GGR		77.4%	n/a	n/a	n/a	n/a
TAXES & PAYMENTS						
State — online (iGaming + OSB)		**62.4**	**−0.6%**	**+20.9%**	**557.5**	**+24.7%**
of which iGaming (20–28% of AGR)		60.6	−1.0%	+19.3%	538.7	+24.6%
of which OSB (8.4% of AGR)		1.8	+13.7%	+138%	18.8	+26.1%
City of Detroit — online (30% share + 1.25%)		14.0	+0.9%	+4.5%	129.1	n/a
Tribal local governing bodies (20% of tribal iGaming payment)		8.3	−2.4%	+36.1%	72.1	n/a
State wagering tax — Detroit casinos (8.1%)		8.3	n/a	+3.8%	n/a	n/a
City of Detroit — casinos (10.9% + dev. agreement)		12.7	n/a	n/a	n/a	n/a
STRUCTURE						
Licensed online operators (iGaming / OSB)		15 / 13	flat	+1 / +2	15 / 13	n/a
iGaming top-3 share of AGR		60.7%	−0.2pt	−7.2pt	60.4%	n/a
OSB top-2 share of handle		62.4%	n/a	−3.6pt	60.4%	n/a
Operator licence fee (iGaming or OSB)	$50k app / $100k initial / $50k p.a.	—	—	—	—	—

3 DEEP-DIVE — IGAMING (ONLINE CASINO & POKER)

$288.2m AGR, +18.4% YoY: the largest and fastest-compounding regulated iGaming pool in the US, with share drifting from the FanDuel/BetMGM duopoly to Hard Rock, Fanatics and bet365.

SEPTEMBER REVENUE

September AGR was $288.2m (+18.4% YoY) on $300.2m GR, the first time Michigan iGaming cleared $300m GR in a 30-day month.

- The −0.9% MoM is a calendar artefact: August had 31 days; per-day AGR rose 2.4% to $9.6m.
- YoY +18.4% is above August's +17.6% and the Detroit land-based market (+4.7%); cannibalisation arguments remain unsupported, retail is growing slowly.
- YTD AGR is $2,600.9m (+23.3%) versus $2,109.6m in Jan–Sep 2025; calendar 2025 closed at $2,901.3m AGR and $3,087.0m GR.
- The Oct-25 to Sep-26 fiscal year reached $3,392.6m AGR and $3,552.7m GR.
- On the current run-rate calendar 2026 AGR lands around $3.5–3.6bn (our estimate, not an MGCB figure).

FREE-PLAY SUNSET

The free-play deduction falls to nil from 1 January 2027, lifting effective tax ~1.1 points of GR, roughly $40m a year, without any vote.

- AGR equals GR less free play; the Lawful Internet Gaming Act caps the deduction at 10% of GR years 1–3, 6% year 4, 4% year 5, 0% year 6 (MCL 432.303(a)).
- Year 1 is the January following launch; for the January-2021 cohort that means 6% in 2025 (observed 6.1% Sep-25), 4% in 2026 (observed 4.0% Sep-26).
- At 28% marginal tax the sunset adds ~1.1 points of GR, roughly $40m a year at a $3.6bn GR run-rate (our estimate).
- Operators relying on free play will absorb the cost or cut bonusing; expect the GR-to-AGR gap to collapse to zero in the January 2027 release.

TAX PAID

Tax paid to the State was $60.6m in September (+19.3% YoY) and $538.7m YTD (+24.6%); total burden including the city levy was $82.4m.

- Commercial AGR $139.6m carried a 28% liability of $39.1m: 70% ($27.4m) to the State (65% Internet Gaming Fund + 5% Agriculture Equine Industry Development Fund).
- Detroit received 30% ($11.7m) plus the 1.25% city wagering tax ($1.7m), matching the reported $13.5m.
- Tribal AGR $148.6m carried $41.6m: 80% to the State ($33.3m: 70% IGF + 10% Michigan Strategic Fund), 20% ($8.3m) to tribes' local governing bodies.
- Total $82.4m equals 28.6% of AGR and 27.5% of GR, the second-highest effective iGaming rate among US states after Pennsylvania.
- There is no slot/table differential and no separate poker rate.

MARKET SHARE

Share is fragmenting at the top: FanDuel and BetMGM lost share YoY to Hard Rock Bet, Fanatics and bet365.

- FanDuel (MotorCity) led with $71.3m AGR / 24.7% (vs 26.9% Sep-25); BetMGM (MGM Grand Detroit) $60.8m / 21.1% (vs 25.4%); DraftKings (Bay Mills) $43.0m / 14.9% (vs 15.6%).
- Hard Rock Bet ceased on the Hannahville licence July 2025, resumed December 2025 booking $33.6m AGR in its first month and $18.6m / 6.4% in September.
- Fanatics (Lac Vieux Desert, ex-PointsBet) $19.2m / 6.7% (vs 5.4%); bet365 (Little Traverse Bay Bands) $6.3m / 2.2% (vs 0.7% under the prior platform).
- BetRivers (Little River) steady at $21.7m / 7.5%; Caesars/WSOP (Grand Traverse) slipped to $14.9m / 5.2%, down 10.7% MoM.
- Tail: Golden Nugget $9.2m, theScore Bet (Greektown, replacing ESPN BET/Barstool) $7.5m, BetPARX $4.2m, FireKeepers/NeoGames $4.2m, Soaring Eagle/GAN $3.4m, Caesars Horseshoe (Sault Ste. Marie, replacing Wynn) $2.3m, Four Winds/Strive $1.6m; all clear the $12m threshold and pay 28%.

COMMERCIAL IMPLICATION

Michigan shows a 28% GGR tax, one skin per licence and a 15-licence cap can coexist with 18–23% growth five years post-launch.

- For an entrant the constraint is access, not economics: no unallocated licences, so entry means buying or displacing a platform partner.
- The Hard Rock/Hannahville, bet365/LTBB and Caesars Horseshoe/Sault Ste. Marie transitions show this is possible, typically with a tribal licensee.
- Underwrite at ≥30% all-in tax from 2027 and assume no free-play shelter.
- Tribal skins avoid the 1.25% Detroit levy but route 20% of their payment to a local governing body, a relationship cost that is part of the deal, not a tax.

MICHIGAN IGAMING, $M (OPERATOR ROWS: SEP-26 AGR | MOM | SHARE OF SEP-26 AGR | JAN–SEP-26 AGR | YTD SHARE)	SEP-26	MOM	YOY / SHARE	JAN–SEP 26	YTD YOY / SHARE
Gross receipts	300.2	−0.9%	+15.9%	2,709.9	+20.7%
Free-play deduction (% of GR; statutory cap 4% in 2026, 0% from 2027)	4.0%	flat	−2.0pt (6.1%)	4.0%	−2.0pt
Adjusted gross receipts (AGR)	**288.2**	**−0.9%**	**+18.4%**	**2,600.9**	**+23.3%**
AGR per day	9.60	+2.4%	+18.4%	9.53	n/a
Commercial (3 Detroit licences) AGR	139.6	n/a	48.4% of total	1,284.4	49.4%
Tribal (12 licences) AGR	148.6	n/a	51.6% of total	1,316.5	50.6%
State tax / payments (iGaming)	**60.6**	**−1.0%**	**+19.3%**	**538.7**	**+24.6%**
City of Detroit (30% of commercial tax + 1.25% AGR)	13.5	+0.4%	+3.8%	123.3	n/a
Tribal local governing bodies (20% of tribal payment)	8.3	−2.4%	+36.1%	72.1	n/a
Total tax burden incl. city levy (% of AGR)	82.4 (28.6%)	n/a	n/a	n/a	n/a
OPERATOR AGR AND SHARE					
FanDuel (MotorCity)	71.3	+2.1%	24.7% (26.9%)	648.0	24.9%
BetMGM (MGM Grand Detroit)	60.8	−1.3%	21.1% (25.4%)	568.2	21.8%
DraftKings (Bay Mills)	43.0	+1.1%	14.9% (15.6%)	356.5	13.7%
BetRivers (Little River Band)	21.7	+0.7%	7.5% (7.7%)	197.9	7.6%
Fanatics (Lac Vieux Desert)	19.2	+2.4%	6.7% (5.4%)	168.0	6.5%
Hard Rock Bet (Hannahville; relaunched Dec-25)	18.6	−4.2%	6.4% (0.0%)	180.9	7.0%
Caesars / WSOP (Grand Traverse Band)	14.9	−10.7%	5.2% (5.7%)	143.2	5.5%
Golden Nugget (Keweenaw Bay)	9.2	+2.7%	3.2% (3.5%)	78.3	3.0%
theScore Bet (Hollywood Casino at Greektown)	7.5	−1.8%	2.6% (3.0%)	68.2	2.6%
bet365 (Little Traverse Bay Bands)	6.3	−7.8%	2.2% (0.7%)	49.4	1.9%
BetPARX (Gun Lake)	4.2	−9.9%	1.5% (1.6%)	39.1	1.5%
FireKeepers / NeoGames (Nottawaseppi Huron)	4.2	−2.1%	1.5% (0.9%)	32.9	1.3%
Soaring Eagle / GAN	3.4	+2.4%	1.2% (1.4%)	32.3	1.2%
Caesars Horseshoe (Sault Ste. Marie; replaced Wynn)	2.3	−17.5%	0.8% (1.3%)	21.4	0.8%
Four Winds / Strive (Pokagon) Share in brackets = same licensee's share of September 2025 AGR (MGCB 2025 workbook), regardless of platform brand at the time.	1.6	−18.7%	0.6% (0.7%)	16.5	0.6%

4 DEEP-DIVE — ONLINE SPORTS BETTING (OSB)

$544.8m handle, 10.2% hold, $24.9m AGR: NFL kick-off lifted GR 27% YoY but 55% of it was handed back as promos — Michigan OSB is a low-tax, low-margin acquisition channel, not a profit pool.

HANDLE AND HOLD

Handle of $544.8m rose 64.9% MoM on the NFL restart but only 3.9% YoY; volume has matured and growth comes from hold at 10.2%.

- Sep-25 handle was $524.4m; YTD handle of $3,876.1m is +5.8%.
- Hold was 10.2% in September (8.3% a year earlier) and 12.0% YTD (11.6% in 2025) as parlay and same-game-parlay mix deepens.
- Gross receipts were $55.5m (+27.3% YoY) and $465.8m YTD (+9.3%).
- Hold volatility persists (14.9% January 2025, 6.9% March 2025); September 2026 hold ranged from 5.8% at Caesars to 15.8% at Hard Rock Bet.

PROMOTIONAL DEDUCTIONS

Promotions are hollowing out the taxable base: operators deducted $30.6m (55.2% of GR) in September to reach $24.9m AGR, with no statutory cap.

- Under the Lawful Sports Betting Act AGR is GR less free play and promotional credits with no cap, unlike iGaming.
- A year ago the deduction was 69.7%, so AGR is +88.2% YoY on a GR gain of only 27%.
- YTD deductions ran at 47.9% of GR versus 38.8% in 2025, so YTD AGR fell 6.9% to $242.8m even as GR rose 9.3%.
- bet365 deducted $6.0m against $4.7m GR (AGR −$1.3m); Hard Rock Bet 92.7% of GR; Caesars 56.0%; FanDuel 50.6% and DraftKings 52.7%.
- Negative-AGR operators pay no tax and get no credit, so the State's take ($1.8m, 7.4% of aggregate AGR) sits below the 8.4% headline.

TAX AND REFORM PROPOSALS

OSB tax is 8.4% of AGR plus 1.25% to Detroit for commercial licensees; September State take was $1.83m and a rejected reform package remains live.

- All-in 9.65% commercial, 8.4% tribal; distribution 65% Internet Sports Betting Fund / 5% AEIDF (≤$3m) / 30% Detroit commercial, 90% ISBF / 10% Michigan Strategic Fund tribal.
- September State take $1.83m (+138% YoY, +13.7% MoM), Detroit $0.55m; YTD State receipts $18.8m (+26.1%); calendar 2025 was $27.1m on $435.9m AGR.
- Governor Whitmer's FY2027 budget called 8.4% the 28th of 30 legal states and lowest among neighbours.
- It proposed $0.25 per wager on an operator's first 20m bets and $0.50 thereafter (~$38.8m/yr) and eliminating the promo deduction (~$21.1m/yr).
- Both were stripped by the Senate in May 2026 and absent from the budget signed 21 Jul 2026, but the revenue case is written, scored and published; a per-wager levy would hit the FanDuel/DraftKings micro-bet model hardest.

CONCENTRATION

Concentration is the highest of any Michigan vertical: FanDuel and DraftKings hold 62% of handle but only 60% of AGR.

- FanDuel $186.3m handle (34.2%); DraftKings $153.7m (28.2%); BetMGM $56.6m (10.4%, but 20.6% of AGR on 14.0% hold and lighter promos).
- Fanatics $48.9m (9.0%, up from 8.7% under PointsBet); bet365 $30.1m (5.5%); Caesars $21.3m (3.9%); Hard Rock Bet $20.0m (3.7%).
- theScore Bet $15.2m (2.8%); BetRivers $9.1m (1.7%); GAN, BetPARX, FireKeepers and Four Winds share the final 0.7%.
- Thirteen of 15 licensees run a sportsbook; Golden Nugget and Caesars Horseshoe do not. BetMGM converts 10% of handle into 21% of AGR.

CATALOGUE AND COMPETITION

Fixed-odds horse racing was added administratively on 30 Oct 2026, and unlicensed prediction-market substitutes have all withdrawn from Michigan.

- Fixed-odds race bets sit alongside pari-mutuel; small handle but the first material product expansion since launch.
- Kalshi (court-ordered), Robinhood, Coinbase and Polymarket withdrew sports event contracts between June and October 2026; Polymarket open positions close by 25 Nov 2026.
- If those venues held even low-single-digit share, Q4 2026 licensed handle should see a modest tailwind.
- We would read YoY handle acceleration above the ~4–6% trend in Oct–Dec as evidence.

COMMERCIAL IMPLICATION

Michigan OSB is a low-tax, low-margin acquisition channel: 3.3% of GR effective tax in September after promos, with incumbents' promo cadence setting the price of share.

- Lowest effective tax of any large US online state and 10%+ structural hold.
- A new skin without a national brand (bet365, Hard Rock at negative-to-nil AGR) is buying customers for iGaming cross-sell and should be modelled that way.
- Michigan OSB AGR of $242.8m YTD is 9% of iGaming AGR.

MICHIGAN ONLINE SPORTS BETTING, $M (OPERATOR ROWS: SEP-26 HANDLE | HANDLE SHARE | HOLD | PROMO DEDUCTION % OF GR | SEP-26 AGR)	SEP-26	MOM	YOY	JAN–SEP 26	YTD YOY
Handle	**544.8**	**+64.9%**	**+3.9%**	**3,876.1**	**+5.8%**
Gross sports betting receipts	55.5	+60.5%	+27.3%	465.8	+9.3%
Hold (GR / handle)	10.2%	−0.3pt	+1.9pt	12.0%	+0.4pt
Promo / free-play deduction (uncapped)	30.6	+194%	+0.7%	223.0	+34.9%
Promo deduction as % of GR	55.2%	+25.1pt	−14.5pt	47.9%	+9.1pt
Adjusted gross receipts (AGR)	**24.9**	**+2.9%**	**+88.2%**	**242.8**	**−6.9%**
State tax / payments (8.4% of AGR)	1.83	+13.7%	+138%	18.8	+26.1%
City of Detroit (30% share + 1.25% AGR)	0.55	+10.8%	+46.0%	5.8	n/a
Effective State tax (% of GR)	3.3%	n/a	+1.5pt	4.0%	n/a
Operators live	13	flat	+2	13	n/a
OPERATOR HANDLE, HOLD, PROMO AND AGR					
FanDuel	186.3	34.2%	9.0%	50.6%	8.26
DraftKings	153.7	28.2%	9.3%	52.7%	6.74
BetMGM	56.6	10.4%	14.0%	35.5%	5.12
Fanatics	48.9	9.0%	9.6%	28.4%	3.35
bet365	30.1	5.5%	15.5%	128.8%	−1.34
Caesars / WSOP	21.3	3.9%	5.8%	56.0%	0.54
Hard Rock Bet	20.0	3.7%	15.8%	92.7%	0.23
theScore Bet	15.2	2.8%	10.4%	26.6%	1.16
BetRivers	9.1	1.7%	9.8%	40.7%	0.53
Others (GAN, BetPARX, FireKeepers, Four Winds) Golden Nugget and Caesars Horseshoe hold OSB authorisation but report no handle.	3.7	0.7%	n/a	n/a	0.29

5 DEEP-DIVE — RETAIL: DETROIT CASINOS, RETAIL SPORTSBOOKS, TRIBAL CASINOS & FANTASY

Detroit's three casinos grew slots/tables AGR 4.7% YoY to $102.8m with MGM at 47% share; retail sportsbooks are vestigial and tribal land-based revenue is unpublished.

DETROIT CASINOS

Detroit's three casinos reported $103.55m aggregate revenue, with slots/tables AGR of $102.78m up 4.7% YoY and MGM at 47% share.

- Slots and tables: +4.7% YoY, −5.6% MoM, +2.3% YTD; retail sports betting added $0.77m qualified AGR.
- MGM Grand Detroit $48.84m (+6.5% YoY, 47%); MotorCity $32.6m (+12.7%, 32%); Hollywood Casino at Greektown $21.34m (−8.8%, 21%).
- The market grows at roughly a quarter of the online rate; share is consolidating toward MGM and MotorCity, whose online skins BetMGM and FanDuel lead iGaming.
- This is consistent with omnichannel loyalty programmes rather than online-to-retail substitution.

RETAIL TAX

Retail tax is ~20% of AGR all-in, heavier than online on paper but lighter in cash; retail sportsbooks are vestigial.

- Detroit casinos pay 8.1% State wagering tax ($8.3m in September vs $8.0m a year earlier) and 10.9% city tax plus development-agreement payments ($12.7m to the City).
- Retail sportsbooks pay 8.4% plus 1.25% city: $30,922 to the State and $37,793 to Detroit on $12.39m handle and $784,762 gross receipts (6.3% hold).
- MGM's retail book posted negative $48,265 QAGR; MotorCity ($602,755) and Greektown ($215,281) carried the segment.
- Retail sportsbook QAGR is 3% of the online figure and has no strategic weight beyond on-property amenity.

TRIBAL GAMING

Tribal land-based revenue from 23 casinos is unpublished; tribes appear in MGCB data only through online skins at 51.6% of iGaming AGR.

- Twelve federally recognised tribes operate 23 casinos under state compacts administered by the MGCB's tribal gaming section; revenue is n/a.
- Tribal online skins generated $148.6m of iGaming AGR; 20% of their payment goes to local governing bodies ($8.3m in September, $72.1m YTD).
- The tribal licence is the realistic entry route: 12 of 15 online licences are tribal, and the Hard Rock, bet365, Caesars Horseshoe and Fanatics changes all occurred on tribal paper.

FANTASY AND LOTTERY

Fantasy contests are licensed but immaterial at $657,854 adjusted revenue for August 2026; the Michigan Lottery is excluded from this report.

- Fantasy operators paid $55,260 in tax at 8.4%, all to the Fantasy Contest Fund.
- The Michigan Lottery, including iLottery products, is regulated separately and excluded from every figure in this report (n/a).

DETROIT COMMERCIAL CASINOS & OTHER RETAIL, $M	SEP-26	MOM	YOY	JAN–SEP 26	YTD YOY
Slots + table games AGR (3 casinos)	**102.78**	**−5.6%**	**+4.7%**	**n/a**	**+2.3%**
MGM Grand Detroit (47% share)	48.84	n/a	+6.5%	n/a	n/a
MotorCity (32% share)	32.60	n/a	+12.7%	n/a	n/a
Hollywood Casino at Greektown (21% share)	21.34	n/a	−8.8%	n/a	n/a
State wagering tax (8.1% of AGR)	8.3	n/a	+3.8%	n/a	n/a
City wagering tax (10.9%) + development agreement	12.7	n/a	n/a	n/a	n/a
Retail sportsbook handle	12.39	n/a	n/a	n/a	n/a
Retail sportsbook gross receipts (6.3% hold)	0.785	n/a	n/a	n/a	n/a
Retail sportsbook QAGR	0.770	−10.9%	+3.0%	n/a	n/a
Retail SB tax — State (8.4%) / City (1.25%)	0.031 / 0.038	n/a	n/a	n/a	n/a
Fantasy contests adjusted revenue (Aug-26) / tax (8.4%)	0.658 / 0.055	n/a	n/a	n/a	n/a
Tribal casinos (23 properties, 12 tribes) — revenue	n/a	n/a	n/a	n/a	n/a
Online share of MGCB-reported GGR (gross basis)	**77.4%**	**n/a**	**n/a**	**n/a**	**n/a**

6 DEEP-DIVE — LICENSING & TAX REGIME

Fifteen single-skin licences, cheap fees, a 28% graduated iGaming tax (29.25% in Detroit) and 8.4% on OSB — stable since 2021, with the free-play sunset on 1 Jan 2027 the only scheduled change and a rejected $200m tax package the live political one.

LEGAL FRAMEWORK

Online gaming runs under two 2019 Acts with 15 single-skin licences per vertical, all allocated, overseen by the most transparent US regulator.

- Lawful Internet Gaming Act (PA 152 of 2019, MCL 432.301–432.322) and Lawful Sports Betting Act (PA 149 of 2019, MCL 432.401–432.419), signed 20 Dec 2019, first launches 22 Jan 2021.
- Detroit casinos fall under the Michigan Gaming Control and Revenue Act (1996), tribal casinos under federal IGRA compacts, fantasy under the Fantasy Contests Consumer Protection Act.
- The MGCB (Treasury-housed; Executive Director Henry Williams) licenses, audits and publishes monthly operator-level results.
- Eligibility is limited to the three Detroit casino licensees and tribes with a Class III compact; each contracts a single platform provider, capping the market at 15 skins.

LICENCE FEES

Fees are immaterial: $50,000 application, $100,000 on initial five-year licence and $50,000 annually (MCL 432.306(9) / 432.406(9)).

- Platform and supplier licences cost $5,000 application, $5,000 initial and $2,500 annual; fantasy operators $10,000 initial / $5,000 annual.
- Investigative costs can be assessed on top.
- A single month of a top-three operator's iGaming tax ($10–14m) exceeds the lifetime licence fees of the entire market.

IGAMING TAX

iGaming tax is graduated to 28% above $12m calendar-year AGR, effectively flat 28%, plus 1.25% Detroit city tax, on a base that equals GR from 1 January 2027.

- Tiers: 20% below $4m, 22% $4m–$8m, 24% $8m–$10m, 26% $10m–$12m, 28% above $12m; even Four Winds ($16.5m AGR YTD) is above the top threshold.
- Free play is capped at 4% of GR in 2026 and eliminated from 1 January 2027 for the 2021 cohort; MGCB tax-form instructions carry the same schedule.
- Commercial distribution: 65% Internet Gaming Fund / 5% AEIDF (capped $3m) / 30% City of Detroit; tribal: 70% IGF / 10% Michigan Strategic Fund / 20% local governing body.
- IGF first tops up Detroit if city gaming taxes fall below $183m (capped at 55% of deposits less the city's 30%), then MGCB costs, $500,000 Compulsive Gaming Prevention Fund, $2m First Responder Presumed Coverage Fund, balance to School Aid Fund.

OSB AND OTHER TAXES

OSB pays 8.4% of AGR with an uncapped promo deduction; combined September 2026 public take across all verticals was $105.9m.

- OSB adds 1.25% city for Detroit licensees; distribution 65/5/30 commercial and 90% ISBF / 10% MSF tribal. Fantasy pays 8.4%, 100% to the Fantasy Contest Fund.
- Detroit casinos pay 8.1% State plus 10.9% city on slots/tables and 8.4% + 1.25% on retail sports betting.
- September: ~$70.8m to the State (online $62.4m + casino $8.3m + retail SB $0.03m), ~$26.8m to Detroit, $8.3m to tribal governing bodies.

2026 TAX PROPOSALS

A ~$195–200m a year gaming tax package was proposed in the FY2027 executive budget and rejected; the FY2028 budget in February 2027 is the next decision point.

- The 11 Feb 2026 budget sought a 36% iGaming tier above $185m annual AGR (capturing FanDuel, BetMGM, DraftKings; Caesars just below at $182.1m in 2025).
- It also sought a $0.25/$0.50 per-wager OSB charge and ending the OSB promo deduction, earmarked for the Medicaid Benefits Trust Fund.
- Both chambers passed budgets without the measures (May 2026); the enacted FY2027 budget (signed 21 Jul 2026; $75.19bn gross per NASBO) has no gaming-tax change.
- The Citizens Research Council flags a $600–900m structural gap; Whitmer is term-limited; preliminary results show Jocelyn Benson (D) elected governor 3 Nov 2026.
- The Legislature has until 1 July 2027 to act for an October 2027 start.

COMMERCIAL IMPLICATION

Model iGaming at ~29–30% of GR all-in from 2027 and treat a 30–36% top tier within two budget cycles as a material probability, not a tail.

- iGaming: 28% plus 1.25% if commercial, on a base equal to GR from 2027.
- The OSB 8.4%/uncapped-promo regime is the most generous in the US for a scaled book and the most exposed to reform.
- A per-wager levy at proposed rates would have cost roughly 5–7% of 2025 OSB GR at FanDuel/DraftKings bet frequencies (our estimate), more than doubling their effective sportsbook tax.

MICHIGAN GAMBLING TAX & LICENSING MATRIX	TAX BASE	RATE / FEE	DISTRIBUTION	SEP-26 TAKE ($M)	SCHEDULED / PROPOSED CHANGE
iGaming — commercial (3 Detroit casinos)	AGR = GR less free play (cap 4% of GR in 2026)	20–28% graduated (28% >$12m annual AGR) + 1.25% city	65% IGF / 5% AEIDF (≤$3m) / 30% Detroit	27.4 State + 13.5 City	Free-play deduction → 0% from 1 Jan 2027 (statutory); 36% tier >$185m AGR proposed Feb-26, rejected
iGaming — tribal (12 tribes)	Same	20–28% graduated	70% IGF / 10% MSF / 20% local governing body	33.3 State + 8.3 local	Same free-play sunset
Online sports betting — commercial	AGR = GR less promos (uncapped)	8.4% + 1.25% city	65% ISBF / 5% AEIDF / 30% Detroit	~1.3 State + 0.55 City	$0.25–0.50 per-wager levy and end of promo deduction proposed Feb-26, rejected
Online sports betting — tribal	Same	8.4%	90% ISBF / 10% MSF	~0.5 State	Same
Fantasy contests	Adjusted revenues	8.4%	100% Fantasy Contest Fund	0.055 (Aug-26)	None
Detroit casinos — slots & tables	AGR	8.1% State + 10.9% City (+ development agreement)	State / City	8.3 State + 12.7 City	None
Detroit casinos — retail sportsbook	QAGR	8.4% + 1.25% City	State / City	0.031 + 0.038	None
Operator licence (iGaming or OSB)	—	$50k application; $100k initial (5-yr); $50k p.a.	MGCB	15 iGaming / 13 OSB live	No new licences available — all 15 allocated
Supplier / platform licence	—	$5k application; $5k initial; $2.5k p.a.	MGCB	n/a	—
Fund priorities (IGF)	—	Detroit $183m guarantee → MGCB costs → $0.5m CGPF → $2m First Responder → School Aid Fund	—	—	—

7 DEEP-DIVE — ENFORCEMENT, PREDICTION MARKETS, RESPONSIBLE GAMBLING & PAYMENTS

Michigan has become the template for state action against sports event contracts — Kalshi enjoined, Robinhood, Coinbase and Polymarket withdrawn by agreement — while running a continuous offshore cease-and-desist programme.

PREDICTION MARKETS

Michigan is the first state with all four major prediction-market venues out by agreement or order, leaving licensed books the sports-outcome market.

- The Attorney General sued KalshiEx LLC in March 2026; Ingham County Circuit Court issued a TRO on 29 Jun 2026 ($120,000-per-day penalty, licensed geolocation provider required).
- A preliminary injunction on 2 Sep 2026 requires geofencing of Michigan.
- Polymarket filed a pre-emptive federal suit in March 2026; Robinhood withdrew in September pending Sixth Circuit appeals; Coinbase agreed to halt on 7 Oct 2026.
- On 28 Oct 2026 the MGCB announced QCX LLC (Polymarket US) will stop new sports contracts and close open positions by end of day 25 Nov 2026, enforcement stayed while it complies.
- Federal pre-emption questions remain live in the Sixth Circuit and could reopen the channel.

OFFSHORE AND SWEEPSTAKES

The MGCB issued 32 cease-and-desist letters to offshore operators on 8 Oct 2026, continuing a programme running since 2024 that keeps the competitive set clean.

- Messaging centres on the absence of self-exclusion and dispute protections at unlicensed sites.
- Sweepstakes-casino models are treated as unlicensed gaming under MCL Chapter 432 and pursued via cease-and-desist rather than new legislation; none operates openly in Michigan.
- This cleaner competitive set partly explains why iGaming growth has not decelerated five years post-launch.

RESPONSIBLE GAMBLING

Minimum age is 21 across all MGCB verticals, with statutory funding of $500,000 a year from each online fund to the Compulsive Gaming Prevention Fund.

- Geolocation and KYC are mandated at account level; self-exclusion runs through the online Responsible Gaming Database and the Disassociated Persons List for Detroit casinos.
- Residents can claim a free Gamban licence via the MGCB; 1-800-GAMBLER and 'Don't Regret the Bet' appear on every release and licensee communication.
- Operators must offer deposit, wager and session limits under MGCB internet gaming rules [rule text not re-verified in this pass].
- Advertising must carry responsible-gaming messaging and may not target under-21s [per MGCB administrative rules; wording not re-verified].

PAYMENTS

The MGCB publishes no deposit-method mix, limits or processing statistics (n/a), and there is no state-level deposit-limit mandate.

- Funding is card/ACH/wallet-based in the US norm.
- Whether credit-card funding is permitted is not addressed in the sources read and is marked [unverified].
- Deposit limits exist only as operator-offered tools.

COMMERCIAL IMPLICATION

Michigan's enforcement posture is an asset for licensees, removing substitutes rather than adding compliance cost, but signals a regulator and AG willing to litigate quickly.

- The next four dated events: 10 Nov 2026 Board meeting, 25 Nov Polymarket close-out, January 2027 free-play sunset, February 2027 executive budget.

MICHIGAN ENFORCEMENT & REGULATORY TIMELINE, 2026	DATE	ACTION	COUNTERPARTY	STATUS / TERMS	IMPLICATION
Kalshi lawsuit (LSBA)	Mar 2026	AG civil action, Ingham County Circuit Court	KalshiEx LLC	TRO 29 Jun ($120k/day); preliminary injunction 2 Sep 2026; geofencing required	Sports event contracts removed from Michigan
Polymarket federal suit	Mar 2026	Pre-emptive federal action vs Michigan	QCX LLC / Polymarket	Superseded by 28 Oct agreement	Pre-emption question pending in Sixth Circuit
FY2027 executive budget	11 Feb 2026	36% iGaming tier >$185m AGR; $0.25–0.50 per wager; end OSB promo deduction	Legislature	Stripped by Senate May 2026; budget signed 21 Jul 2026 without	~$195–200m/yr proposal shelved, not withdrawn
Robinhood withdrawal	Sep 2026	Agreement with AG/MGCB	Robinhood	Sports contracts pulled pending appeals	Second venue out
Coinbase agreement	7 Oct 2026	MGCB announcement	Coinbase	Halts sports-related event contracts	Third venue out
Offshore cease-and-desist	8 Oct 2026	32 C&D letters	Offshore operators	Ongoing programme	Clean competitive set
Polymarket agreement	28 Oct 2026	MGCB announcement	QCX LLC (Polymarket US)	No new sports contracts; positions closed by 25 Nov 2026; enforcement stayed	Fourth venue out
Fixed-odds horse racing	30 Oct 2026	Catalogue expansion for OSB licensees	All 13 OSB operators	Live	Administrative product expansion
Governor election	3 Nov 2026	Jocelyn Benson (D) elected (preliminary)	—	Takes office Jan 2027	Gaming-tax stance unknown
MGCB Board meeting	10 Nov 2026	Public meeting	—	Scheduled	Watch for rule changes
iGaming free-play sunset	1 Jan 2027	MCL 432.303(a) year-6 cap = 0%	All 2021-launch operators	Statutory, automatic	~+1.1pt of GR effective tax (est.)
FY2028 executive budget	Feb 2027	New governor's first budget	Legislature	TBD	Re-run of 2026 tax package possible

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Deepest regulated iGaming pool in the US and still compounding: $288.2m AGR in September (+18.4% YoY), $3.39bn trailing-12-month AGR, growth accelerating rather than fading five years after launch. structural
- Transparent, predictable regime: monthly operator-level publication, graduated 20–28% tax unchanged since 2019, licence fees of $100k/$50k p.a. that are immaterial, and no slot/table/poker rate differential. structural
- Lowest effective sportsbook tax among large US online states — 8.4% of AGR with uncapped promo deductions produced a State take of just 3.3% of GR in September — plus 10%+ structural hold on parlay mix. structural
- Competitive set is being cleaned up for licensees: Kalshi enjoined, Robinhood/Coinbase/Polymarket withdrawn by agreement by 25 Nov 2026, 32 offshore C&D letters in October, sweepstakes treated as illegal — a Q4 handle tailwind and a durable moat. mixed
- Share is contestable despite the cap: Hard Rock Bet went from zero to 6.4% of iGaming AGR within nine months of relaunching on a tribal licence; FanDuel and BetMGM have ceded 6.5 points combined in a year — a platform-swap entry is proven. structural
- Tribal skins (12 of 15 licences, 51.6% of iGaming AGR) avoid the 1.25% Detroit city levy and offer the realistic access route for a new platform partner. structural
- Catalogue is expanding administratively — fixed-odds horse racing added to OSB on 30 Oct 2026 — signalling a regulator willing to widen product without legislation. early

▼ LOWLIGHTS

- No open licences: all 15 operator licences (3 Detroit casinos + 12 tribes) are allocated with one platform each; entry requires buying or displacing an incumbent partner, with the tribe or casino as gatekeeper. structural
- Free-play deduction sunsets to 0% on 1 Jan 2027 under MCL 432.303(a), lifting effective iGaming tax by ~1.1pt of GR (~$40m/yr market-wide, our estimate) with no legislative action required. structural
- A scored $195–200m/yr tax package (36% iGaming tier >$185m AGR, $0.25–0.50 per-wager OSB levy, end of OSB promo deduction) was rejected in 2026 but sits on the shelf as a new governor inherits a budget the Citizens Research Council says is $600–900m short. watch
- OSB economics are being competed away: promo deductions ran at 48% of GR YTD (39% in 2025), YTD OSB AGR fell 6.9% despite +9.3% GR, and challengers (bet365 −$1.3m AGR, Hard Rock 93% promo/GR) are buying share at a loss. mixed
- Concentration: FanDuel + DraftKings hold 62% of OSB handle and FanDuel + BetMGM + DraftKings 61% of iGaming AGR; a sub-scale skin is a cross-sell vehicle, not a standalone business. structural
- OSB volume has plateaued (+3.9% YoY handle in NFL kick-off month, +5.8% YTD); growth depends on hold and promo discipline, both of which are volatile month to month. structural
- Litigation-first enforcement culture cuts both ways: the AG and MGCB move quickly against perceived unlicensed activity (TRO within three months of filing), and federal pre-emption rulings in the Sixth Circuit could reopen prediction-market competition at short notice. governance

9 FORECAST & OUTLOOK

Guidance bridge. Nothing in Michigan's tax or licensing code changed in the September 2026 reporting period, but the trajectory did: the FY2027 executive budget's ~$200m gaming-tax package (36% iGaming top tier, per-wager OSB levy, OSB promo-deduction repeal) was stripped in May and the budget was signed on 21 Jul 2026 without it, while enforcement removed Kalshi, Robinhood, Coinbase and Polymarket from the sports-outcome market between June and October. The scheduled change is statutory — the iGaming free-play deduction drops from 4% of GR to zero on 1 January 2027 — and the unscheduled one is political: a term-limited governor hands a structurally short budget to a successor whose FY2028 proposal lands in February 2027.

IGAMING FREE-PLAY SUNSET (1 JAN 2027)	REJECTED FY2027 TAX PACKAGE	PREDICTION-MARKET EXITS	FIXED-ODDS HORSE RACING
~+1.1pt of GR	**~$195–200m/yr**	**4 venues out by 25 Nov 2026**	**Added 30 Oct 2026**
Effective tax rises from ~27.5% to ~28.6% of GR; ~$40m/yr market-wide (estimate)	36% tier >$185m AGR + $0.25–0.50/wager + OSB promo repeal; shelved, not withdrawn	Licensed OSB handle tailwind in Q4-26; Sixth Circuit pre-emption risk remains	Incremental OSB catalogue; low single-digit $m handle (estimate)

Independent view. Market: we expect calendar-2026 iGaming AGR of roughly $3.5–3.6bn (+20–23%) and GR of ~$3.65–3.75bn (estimates), decelerating to low-to-mid-teens growth in 2027 as the free-play sunset removes a promotional lever and the base compounds; OSB handle should stay in a +3–8% band with hold around 11–12%, so OSB AGR direction will be set by promo intensity rather than volume — we assume promos ease back toward 40% of GR once the bet365/Hard Rock share grabs normalise. **Tax:** the probability that Michigan raises iGaming and/or OSB taxes within two budget cycles is high; the specific 2026 proposal already carries a fiscal score and Michigan's 8.4% OSB rate is below every neighbour (Illinois, Ohio, Indiana). Our base case is a top-tier iGaming increase to 30–36% on the largest operators and either a per-wager charge or a promo-deduction cap on OSB effective October 2027 at the earliest, with the Detroit 1.25% levy untouched. **Licensing:** no new licences; expect one or two further platform swaps on tribal paper (Caesars Horseshoe and Four Winds are the sub-$3m/month skins most exposed). **Enforcement:** the prediction-market agreements hold unless the Sixth Circuit finds CEA pre-emption, in which case Michigan would litigate rather than accommodate. **Leverage for an entrant:** none — Michigan rewards scale and brand; a B2B/platform play supplying a tribal licensee is the lower-risk exposure.

What to watch next quarter:

- FY2028 executive budget (Feb 2027): whether Gov.-elect Benson re-tables the 36% iGaming tier, per-wager OSB levy or promo-deduction repeal, and the Senate/House response before the 1 Jul 2027 deadline.
- January 2027 MGCB release (published ~Feb 2027): confirmation that iGaming GR = AGR as the free-play cap hits 0%, and any operator pullback in bonusing.
- Sixth Circuit rulings on Kalshi/Coinbase/Robinhood pre-emption and Polymarket's close-out of positions by 25 Nov 2026 — any reversal reopens sports event contracts.
- Q4-2026 OSB handle YoY vs the +4–6% trend as a read on how much volume the prediction-market exits return to licensed books.
- Promo-deduction ratio in OSB (48% of GR YTD) — persistence above 45% into 2027 would strengthen the fiscal case for a cap.
- Platform changes on the five smallest tribal skins (Caesars Horseshoe, Four Winds/Strive, Soaring Eagle/GAN, FireKeepers/NeoGames, BetPARX) — the only entry route into the market.
- MGCB Board meeting 10 Nov 2026 and the Executive Director's monthly reports for rule-making on advertising, fixed-odds racing and sweepstakes enforcement.

DATA CONFIDENCE: HIGH Market reports in USD; no FX conversion required. All headline figures (GR, AGR, handle, taxes, operator shares) are taken directly from the MGCB's 22 Oct 2026 release and its operator-level 2026/2025 Internet Gaming and Internet Sports Betting workbooks and reconcile to within $0.1m; YTD and fiscal-year aggregates are our sums of MGCB monthly data. Tax rates, fund distribution and licence fees are from the Lawful Internet Gaming Act (MCL 432.303/432.306/432.314) and the MGCB distribution chart. Items NOT verified from a primary source and flagged as such: contents of the 8 Oct 2026 cease-and-desist release (headline only), the MGCB Executive Director's September 2026 report, advertising-rule wording, payment-method rules (credit-card funding) and statistics (n/a), tribal land-based casino revenue (not published), the $182.1m Caesars 2025 AGR figure (OddsShark), the 2026 governor election result (preliminary, MultiState/DDHQ), and the calendar-2026 and free-play-sunset dollar impacts, which are our estimates.

Sources: [Primary] MGCB news release, 22 Oct 2026 — Michigan iGaming, Online Sports Betting Operators Report $355.7M in September revenue (primary); [Primary] MGCB news release, 18 Sep 2026 — August 2026 iGaming/OSB revenue $337.6M (primary); [Primary] MGCB news release, 13 Oct 2026 — Detroit casinos report $103.55M in September revenue (primary); [Primary] MGCB — 2026 Internet Gaming Revenues and Taxes workbook, operator-level, incl. 2025 sheet (primary); [Primary] MGCB — 2026 Internet Sports Betting Revenues and Taxes workbook, operator-level, incl. 2025 sheet (primary); [Primary] MGCB — Distribution of Tax Revenue for Internet Gaming, Internet Sports Betting and Fantasy Contests (primary); [Primary] MGCB — Revenues and Wagering Tax Information page (primary); [Primary] Lawful Internet Gaming Act, PA 152 of 2019 (MCL 432.301–432.322) — Michigan Legislature (primary); [Primary] MCL 432.303 — definitions incl. free-play deduction schedule 10%/6%/4%/0% (primary); [Primary] MGCB — Instructions for Internet Gaming Tax Form, commercial operators (free-play cap) (primary); [Primary] MGCB news release, 28 Oct 2026 — Polymarket backs down (primary); [Primary] MGCB news release, 30 Oct 2026 — fixed-odds horse racing added to OSB (primary); [Primary] MGCB news release, 7 Oct 2026 — Coinbase agrees to halt sports-related event contracts (primary; headline only); [Primary] MGCB news release, 8 Oct 2026 — 32 cease-and-desist letters to offshore sites (primary; headline only); [Primary] Office of the Governor, 21 Jul 2026 — FY2027 budget signed (primary); [Primary] NASBO — Michigan enacted FY2027 budget summary (official statistics); [Secondary] Gaming Intelligence, 27 Oct 2026 — Michigan sports betting and iGaming revenue tops $355 million in September (lead article; paywalled); [Secondary] Michigan Gaming Newsletter (RMC Legal), 5 Nov 2025 — September 2025 MGCB figures ($302.7M); [Secondary] Legal Sports Report, Feb 2026 — Michigan governor wants an extra $200M in annual online gaming taxes; [Secondary] SBC Americas, 11 Feb 2026 — Michigan budget per-wager tax ($0.25/$0.50; $38.8m); [Secondary] PlayMichigan, May 2026 — gambling tax hike missing from Senate/House budgets; [Secondary] Legal Sports Report, 28 Oct 2026 — Michigan makes Polymarket fourth operator to halt sports contracts; [Secondary] Spectrum News, 30 Jun 2026 — Michigan judge temporarily blocks Kalshi (TRO); [Secondary] Spectrum News, 2 Sep 2026 — preliminary injunction against Kalshi; [Secondary] CDC Gaming, Sep 2026 — Robinhood pulls sports event contracts from Michigan; [Secondary] MultiState, 4 Nov 2026 — Michigan governor election result (preliminary); [Secondary] American Gaming Association — Michigan gaming regulatory fact sheet 2025 (Detroit casino fees/taxes); [Secondary] iGaming Times — Michigan regulatory profile (licence fees; FY2027 budget no-change corroboration).

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